

How to Process Returns for VAT Groups



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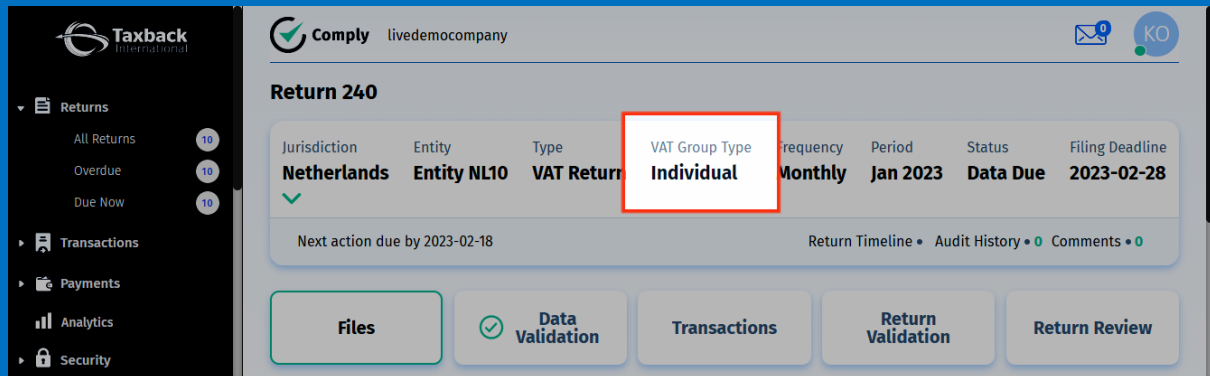
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Overview

Purpose of this document

The purpose of this document is to provide guidance, context, and instruction on Processing Returns in Comply for VAT Groups.



1.1. Introduction

A **VAT Group** is formed when a group of related companies which are under common economic ownership, register to submit VAT returns together, as a single return to the relevant Tax Authorities.

In this situation, a nominated company/entity from the group is registered as the VAT Group Representative. This is the entity which is registered and responsible for submitting the returns.

Please Note:

The following jurisdictions **do not** allow VAT Groups:

- Bulgaria
- Lithuania
- Portugal

*For these jurisdictions, VAT Group Details **will not** be displayed on the Entity > Jurisdiction Details page in Comply.*

1.2. VAT Group Submission Types

Where VAT Groups are allowed, certain jurisdictions may also have specific treatment for submissions. In Comply, we support this using **VAT Group Submission Type**, of which there are 3 options: 1. **Consolidated**, 2. **Consolidated & Individual** and 3. **Individual**.

VAT Group Submission Type	Description
Consolidated	The VAT Group Representative will submit only 1 return, called Consolidated, to the tax office. It will contain all the transactions for the relevant period, for the representative and the members as well. The other Members will have their individual returns, but those are called VAT Calculations, and those are not submitted to the tax office, but only used for calculations.
Consolidated & Individual	Both the VAT Group Representative and the other members are filling, calculating, and submitting their Individual returns, along with a Consolidated return, which combines the transactions of all entities in the VAT Group, for the period.
Individual	Each entity from the VAT Group is filling, calculating, and submitting their individual return to the tax office. Consolidated return is not required.

1.3. Submission Types by Jurisdiction

These can differ by jurisdiction. Please see list below, where you can see:

- Which are the countries that can form a VAT Group
- Do they use the VAT Group Representative number or just they have their own VAT number as a group
- The submission type.

Country	VAT Group	VAT Group Number Type	Return Type	Submission Type
Austria	YES	VAT Group Representative's number	VAT Return	Consolidated
Austria	YES	VAT Group Representative's number	VAT Return	Consolidated and Individual
Austria	YES	VAT Group Representative's number	VIES Return	Individual
Austria	YES	VAT Group Representative's number	Intrastat Arrivals	Individual
Austria	YES	VAT Group Representative's number	Intrastat Dispatches	Individual
Bulgaria	NO			
Czech Republic	YES	VAT Group Has Its Own VAT number	VAT Return	Consolidated
Czech Republic	YES	VAT Group Has Its Own VAT number	Control List	Consolidated
Czech Republic	YES	VAT Group Has Its Own VAT number	VIES Return	Consolidated

Comply: Processing Returns for VAT Groups

Czech Republic	YES	VAT Group Has Its Own VAT number	Intrastat Arrivals	Consolidated
Czech Republic	YES	VAT Group Has Its Own VAT number	Intrastat Dispatches	Consolidated
Germany	YES	VAT Group Representative's number	VAT Return	Consolidated
Germany	YES	VAT Group Representative's number	VIES Return	Individual
Germany	YES	VAT Group Representative's number	Intrastat Arrivals	Individual
Germany	YES	VAT Group Representative's number	Intrastat Dispatches	Individual
Latvia	YES	VAT Group Has Its Own VAT number	VAT Return	Consolidated
Latvia	YES	VAT Group Has Its Own VAT number	VIES Return	Individual
Latvia	YES	VAT Group Has Its Own VAT number	Intrastat Arrivals	Consolidated
Latvia	YES	VAT Group Has Its Own VAT number	Intrastat Dispatches	Consolidated
Lithuania	NO			
Poland	YES	VAT Group Representative's number	VAT Return	Consolidated
Poland	YES	VAT Group Representative's number	VIES Return	Consolidated

Poland	YES	VAT Group Representative's number	Intrastat Arrivals	Individual
Poland	YES	VAT Group Representative's number	Intrastat Dispatches	Individual
Portugal	NO			
Slovakia	YES	VAT Group Has Its Own VAT number	VAT Return	Consolidated
Slovakia	YES	VAT Group Has Its Own VAT number	Control List	Consolidated
Slovakia	YES	VAT Group Has Its Own VAT number	VIES Return	Consolidated
Slovakia	YES	VAT Group Has Its Own VAT number	Intrastat Arrivals	Consolidated
Slovakia	YES	VAT Group Has Its Own VAT number	Intrastat Dispatches	Consolidated
Switzerland	YES	VAT Group Representative's number	VAT Return	Consolidated
United Kingdom	YES	VAT Group Representative's number	VAT Return	Consolidated
United Kingdom	YES	VAT Group Representative's number	VIES Return	Individual
United Kingdom	YES	VAT Group Representative's number	Intrastat Arrivals	Consolidated
United Kingdom	YES	VAT Group Representative's number	Intrastat Arrivals	Individual

United Kingdom	YES	VAT Group Representative's number	Intrastat Dispatches	Individual
United Kingdom	YES	VAT Group Representative's number	VIES	Individual
United Kingdom	YES	VAT Group Representative's number	VIES	Consolidated

2. VAT Group Submission Types

2.1. Consolidated

For VAT Groups, where the Submission Type has been configured to Consolidated:

Return Period	VAT Group Type	VAT Group Submission Type	VAT Group Preparation Method	Is
Filter by	Filter by	Consolidat...	Filter by	Y
Jan 2023	VAT Calculation	Consolidated and VAT Calculations	Consolidated and VAT Calculations	Ye
Feb 2023	VAT Calculation	Consolidated and VAT Calculations	Consolidated and VAT Calculations	Ye
Mar 2023	VAT Calculation	Consolidated and VAT Calculations	Consolidated and VAT Calculations	Ye
Oct-Dec 2022	VAT Calculation	Consolidated Only	Consolidated Only	Ye
Oct-Dec 2022	Consolidated	Consolidated Only	Consolidated Only	Ye
Jan-Mar 2023	VAT Calculation	Consolidated Only	Consolidated Only	Ye
Jan-Mar 2023	Consolidated	Consolidated Submission	Consolidated Only	Ye

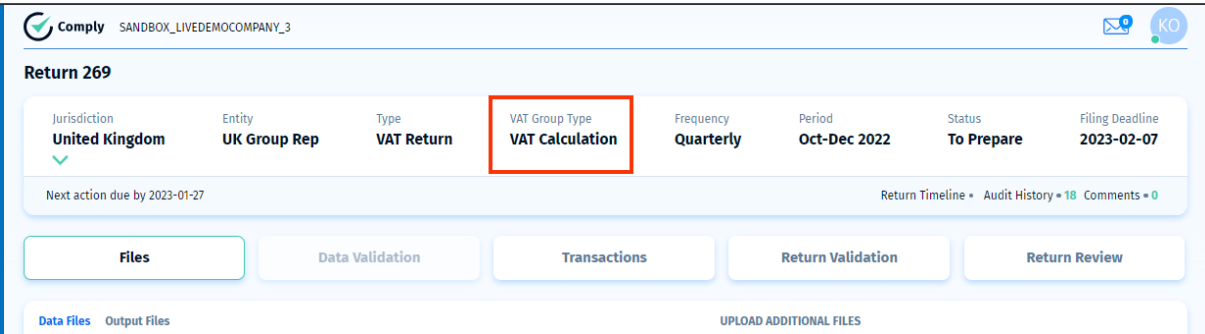
Then Comply automatically generates returns with the following Return Types:

- VAT Calculations – A VAT Calculation Return will be generated for each VAT Group Member.
- Consolidated – The Consolidated Return will be generated for the VAT Group Representative.

Entity DE01	VAT Return	Monthly	05-10-2023	Georgi Georgiev	Sep 2023	Consolidated
Entity DE01	VAT Return	Monthly	05-11-2023	Georgi Georgiev	Oct 2023	Consolidated
UK Group Rep	VAT Return	Quarterly	27-01-2023	Georgi Georgiev	Oct-Dec 2022	VAT Calculation
UK Group Rep	VAT Return	Quarterly	27-01-2023	Georgi Georgiev	Oct-Dec 2022	Consolidated
UK Group Rep	VAT Return	Quarterly	21-04-2023	Georgi Georgiev	Jan-Mar 2023	VAT Calculation
UK Group Rep	VAT Return	Quarterly	21-04-2023	Georgi Georgiev	Jan-Mar 2023	Consolidated
UK Group Rep	VAT Return	Quarterly	24-07-2023	Georgi Georgiev	Apr-Jun 2023	VAT Calculation

2.1.1. VAT Calculation

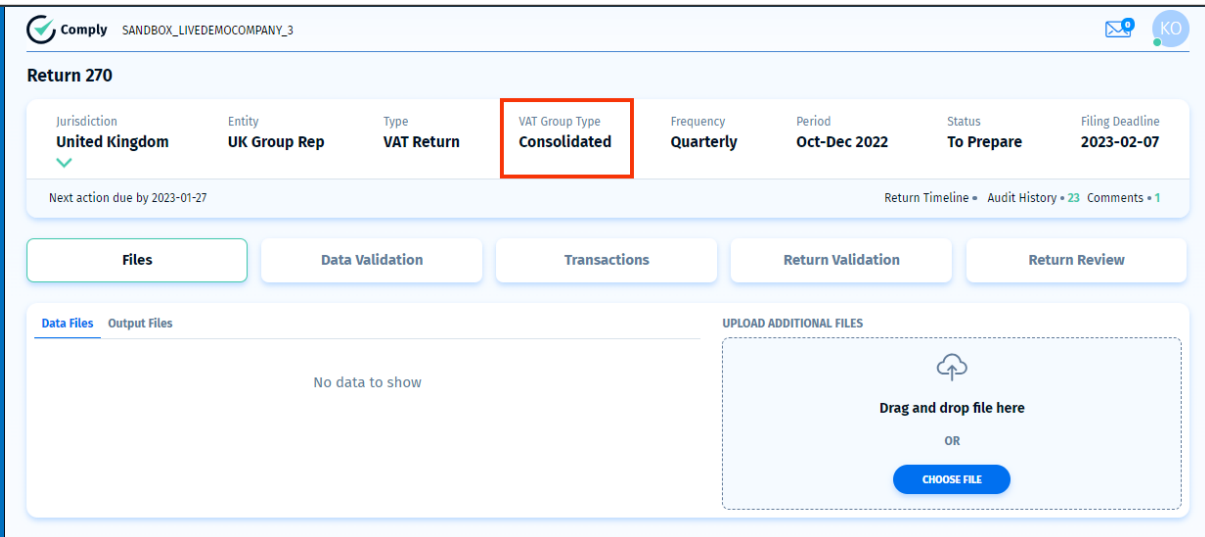
These are used by the members to perform calculations only. The calculations and transaction details from each VAT Calculation return are added to and combined to the Consolidated Return, which in turn is Submitted to the Tax Office.



The screenshot shows the Comply interface for 'Return 269'. The header includes the Comply logo and 'SANDBOX_LIVEDEMOCOMPANY_3'. The main section displays a table with the following details: Jurisdiction: United Kingdom (with a green checkmark), Entity: UK Group Rep, Type: VAT Return, VAT Group Type: VAT Calculation (highlighted with a red box), Frequency: Quarterly, Period: Oct-Dec 2022, Status: To Prepare, and Filing Deadline: 2023-02-07. Below the table, it states 'Next action due by 2023-01-27' and 'Return Timeline • Audit History • 18 Comments • 0'. At the bottom, there are buttons for 'Files', 'Data Validation', 'Transactions', 'Return Validation', and 'Return Review'. A 'Data Files' section shows 'Output Files' and an 'UPLOAD ADDITIONAL FILES' button.

2.1.2. Consolidated Return

The Consolidated return is a combination of all Transactions from each of the VAT Calculation returns from each of the other VAT Group members



The screenshot shows the Comply interface for 'Return 270'. The header includes the Comply logo and 'SANDBOX_LIVEDEMOCOMPANY_3'. The main section displays a table with the following details: Jurisdiction: United Kingdom (with a green checkmark), Entity: UK Group Rep, Type: VAT Return, VAT Group Type: Consolidated (highlighted with a red box), Frequency: Quarterly, Period: Oct-Dec 2022, Status: To Prepare, and Filing Deadline: 2023-02-07. Below the table, it states 'Next action due by 2023-01-27' and 'Return Timeline • Audit History • 23 Comments • 1'. At the bottom, there are buttons for 'Files', 'Data Validation', 'Transactions', 'Return Validation', and 'Return Review'. A 'Data Files' section shows 'Output Files' and an 'UPLOAD ADDITIONAL FILES' button. Below the upload button, there is a message 'No data to show' and a 'Drag and drop file here' area with a 'CHOOSE FILE' button.

Please note: The VAT Group Representative is responsible for filing the Consolidated Return only. They ARE NOT required to file an Individual return.

2.1.3. Preparation Method

The Preparation Method is available for Consolidated Only Submission Types. It can be set to:

- Consolidated
- Consolidated and VAT Calculations

The screenshot displays the 'Return Details' page in the Comply system. On the left, a table lists VAT returns with columns for ID, Return Period, Status, Status Owner, Deadline, and Date Submitted. On the right, a form for 'VAT Group Submission Type' is shown, with 'Consolidated Submission' selected. Below this, the 'VAT Group Preparation Method' dropdown is open, showing 'Consolidated Only' as the selected option and 'Consolidated and VAT Calculations' as an available option. Other fields like 'Return Frequency' (Quarterly) and 'Return Deadline' (EOP + 1 Month + 7 Days) are also visible.

ID	Return Period	Status	Status Owner	Deadline	Date Submitted
39	Oct-Dec 2022	Submitted	Ani Encheva	2023-02-07	2023-03-08 06:35:49.337
40	Jan-Mar 2023	To Prepare	Ani Encheva	2023-05-05	
41	Apr-Jun 2023	Data Due	Ani Encheva	2023-08-07	
42	Jul-Sep 2023	To Prepare	Ani Encheva	2023-11-07	
43	Oct-Dec 2023	To Prepare	Ani Encheva	2024-02-07	
145	Jan-Mar 2024	To Prepare	Ani Encheva	2024-05-07	
479	Apr-Jun 2024	Data Due	Ani Encheva	2024-08-07	
643	Apr-Jun 2024	Data Due	Ani Encheva	2024-08-07	

The Preparation Method is set at Entity Level and can only be set by the VAT Group Representative.

Navigate to: *Settings > Entity > Jurisdiction Details > VAT Group Details*

Consolidated

Where the Preparation Method is set to **Consolidated only**, then on the VAT Calculations return, the Data Validation tab is disabled. This means only the Consolidated Return (VAT Group Representative) can perform this step.

The screenshot shows the 'Return 41' interface in the Comply system. The header includes the Comply logo and user 'testani'. The main section displays return details: Jurisdiction (United Kingdom), Entity (GB02M), Type (VAT Return), VAT Group Type (VAT Calculation), Frequency (Quarterly), Period (Apr-Jun 2023), Status (Data Due), and Filing Deadline (2023-08-07). Below this, a row of tabs is visible: Files, Data Validation, Transactions, Return Validation, and Return Review. The 'Data Validation' tab is highlighted with a red box, indicating it is the current step. The 'Files' tab is also highlighted with a red box. The 'Data Validation' tab is disabled, as indicated by the text 'No data to show' below it. The 'Transactions' tab is also highlighted with a red box. The 'Return Validation' and 'Return Review' tabs are also visible. The 'Data Validation' tab is disabled, as indicated by the text 'No data to show' below it.

Consolidated and VAT Calculations

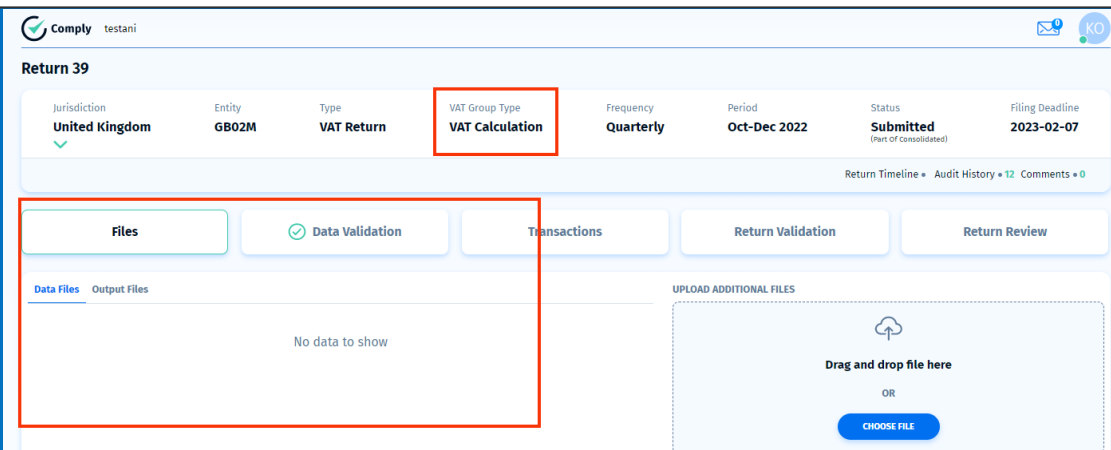
Where the Preparation Method is set to **Consolidated and VAT Calculations**, then on the VAT Calculations return, the Data Validation tab is enabled. The member can complete this step. In this case associated transactions will be automatically updated to the Consolidated Return.

The screenshot shows the 'Return 57' interface in the Comply system. The header includes the Comply logo and user 'testani'. The main section displays return details: Jurisdiction (Germany), Entity (DE), Type (VAT Return), VAT Group Type (VAT Calculation), Frequency (Monthly), Period (Jun 2023), Status (To Prepare), and Filing Deadline (2023-07-10). Below this, a row of tabs is visible: Files, Data Validation, Transactions, Return Validation, and Return Review. The 'Data Validation' tab is highlighted with a red box, indicating it is the current step. The 'Files' tab is also highlighted with a red box. The 'Data Validation' tab is enabled, as indicated by the text 'Data Validation' below it. The 'Transactions' tab is also highlighted with a red box. The 'Return Validation' and 'Return Review' tabs are also visible. The 'Data Validation' tab is enabled, as indicated by the text 'Data Validation' below it.

2.1.4. Data File

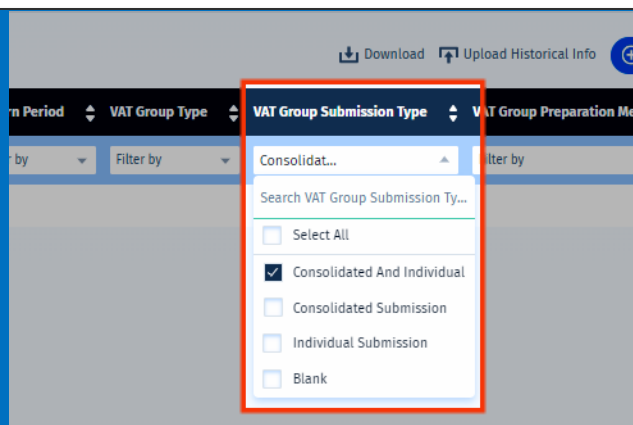
Please note:

- Data Files Uploaded to the VAT Calculation Returns will not be visible in the Files Tab of the Consolidated Returns
- Data Files Uploaded to the Consolidated Returns will not be visible in the Files Tab of the VAT Calculation Returns.



2.2. Consolidated and Individual

For VAT Groups, where the Submission Type has been configured to **Consolidated and Individual**.



Then Comply automatically generates returns with the following Return Types:

Comply: Processing Returns for VAT Groups

- Consolidated – The Consolidated Return will be generated for the VAT Group Representative.
- Individual – An individual Return will be generated for each VAT Group Member (including one for the VAT Group Representative).

2.2.1. Consolidated Return

Return 21514

Jurisdiction Spain ✓	Entity ES2	Type VAT Return	VAT Group Type Consolidated	Frequency Monthly	Period Aug 2022	Status Data Due	Filing Deadline 2022-09-20
----------------------------	---------------	--------------------	---------------------------------------	----------------------	--------------------	--------------------	-------------------------------

Next action due by 2022-09-10 Return Timeline • Audit History • 0 Comments • 0

Files

✓ Data Validation

Transactions

Return Validation

Return Review

Data Files

Output Files

No data to show

UPLOAD ADDITIONAL FILES


Drag and drop file here
OR
[CHOOSE FILE](#)

2.2.2. Individual Return

Return 21067

Jurisdiction Spain ✓	Entity ES2	Type VIES Return	VAT Group Type Individual	Frequency Monthly	Period Aug 2022	Status Data Due	Filing Deadline 2022-09-20
----------------------------	---------------	---------------------	-------------------------------------	----------------------	--------------------	--------------------	-------------------------------

Next action due by 2022-09-10 Return Timeline • Audit History • 0 Comments • 0

Files

✓ Data Validation

Transactions

Return Validation

Return Review

Data Files

Output Files

No data to show

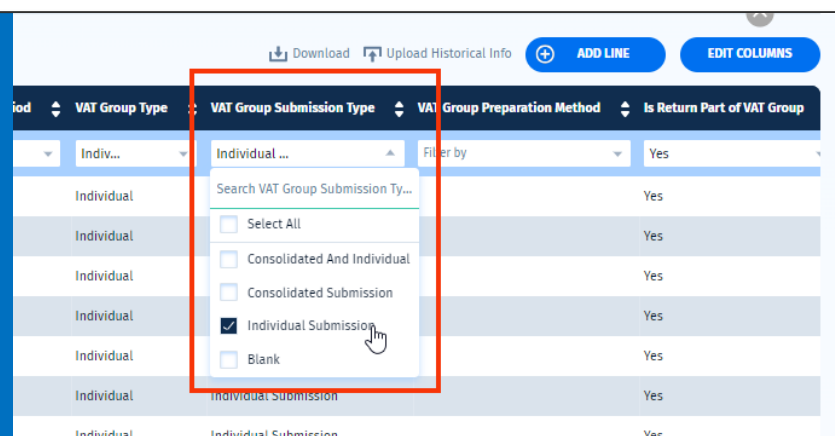
UPLOAD ADDITIONAL FILES


Drag and drop file here
OR
[CHOOSE FILE](#)

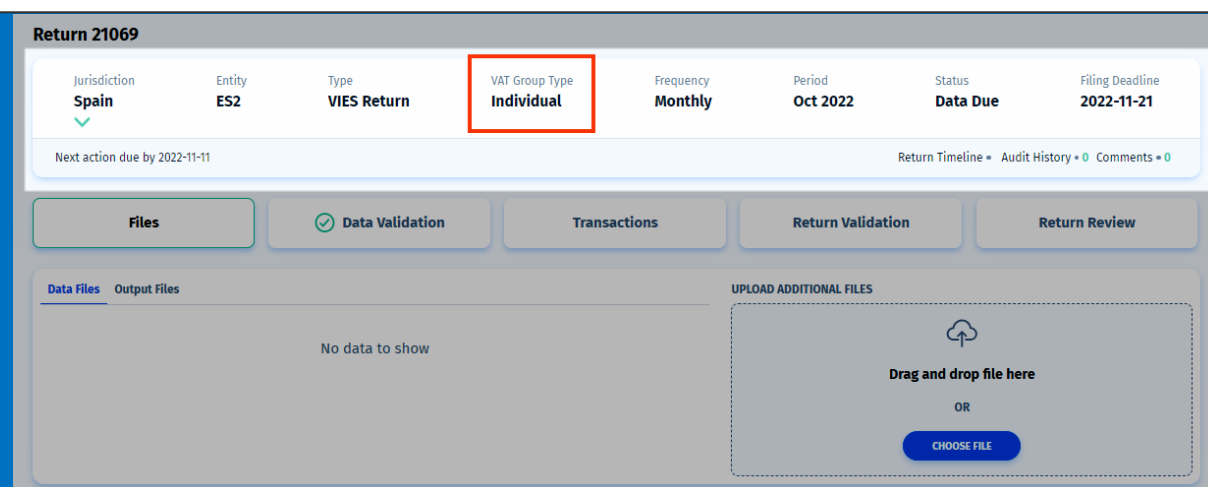
Please note: In this situation, The VAT Group representative is also responsible for submitting not only their own Individual Return, but also a **Consolidated Return** (which includes all transactions from each of the other members Individual returns).

2.3. Individual Returns

The last option is that there is requirement for Consolidated Return. Each VAT Group Member is responsible for filing their own individual return.



2.3.1. Individual Return



3. Processing 'Consolidated Only'

As discussed earlier, the Consolidated Returns process requires the VAT Calculation Returns for each VAT Group member to be prepared before the final Consolidated Return is submitted to the Tax Office.

3.1. Step 1: VAT Calculations

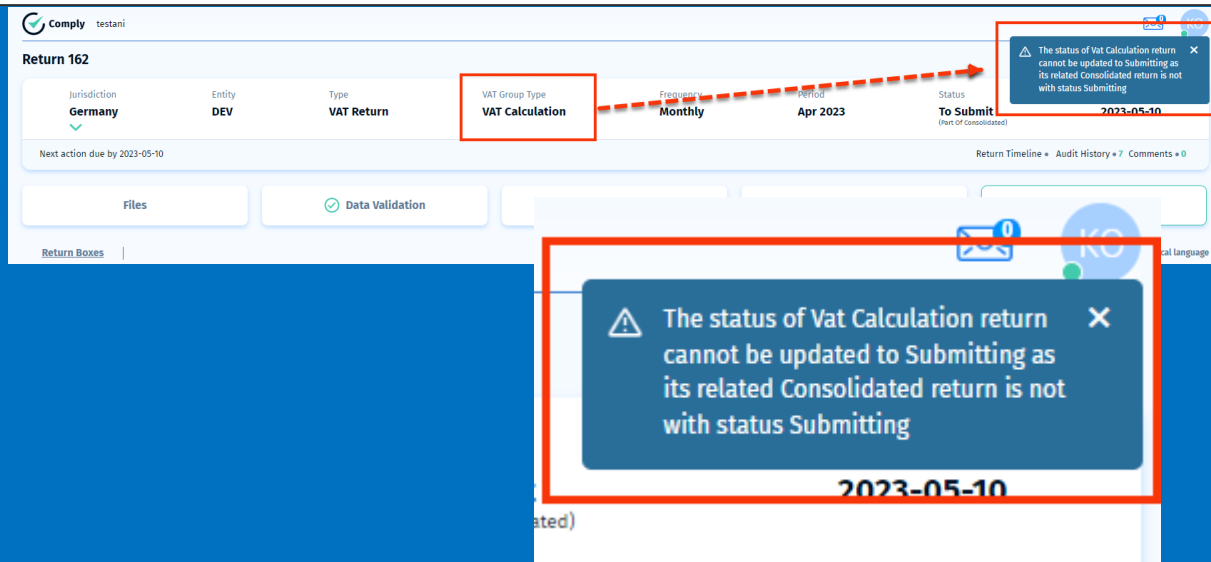
E.g. A VAT Group is made up of 8 VAT Group Members.

Example 1:

Each of the **VAT Calculation** returns must be processed from **Data Due** through **To Submit** before the Consolidated Return can be prepared.

	VAT Calculation Status	Consolidated Status
VAT Group Rep.		Data Due
Member 1	Data Due	
Member 2	To Submit	
Member 3	To Submit	
Member 4	To Review	
Member 5	To Approve	
Member 6	To Submit	
Member 7	To Submit	
Member 8	To Submit	

Please note: If the VAT Group Representative tries to move the Consolidated Return from **Data Due to 'To Prepare'**, when any of the **VAT Calculations are not in To Submit**, then an error is displayed.



Example 2:

Once each (or the last) VAT Calculations are moved to status To Submit, then the Consolidated Return is moved to a status of **To Prepare**.

VAT Calculation Status		Consolidated Status
VAT Group Rep.		To Prepare
Member 1	To Submit	
Member 2	To Submit	
Member 3	To Submit	
Member 4	To Submit	
Member 5	To Submit	
Member 6	To Submit	
Member 7	To Submit	
Member 8	To Submit	

Example 3:

If a VAT Calculation is Rejected/Modified (which causes the status to return from To Submit back to 'To Prepare'), then the Consolidated Return status will be returned back from To Prepare to Data Due.

VAT Calculation Status		Consolidated Status
VAT Group Rep.		Data Due
Member 1	To Submit	
Member 2	To Submit	
Member 3	To Submit	
Member 4	To Prepare (Rejected/Modified)	
Member 5	To Submit	
Member 6	To Submit	
Member 7	To Submit	
Member 8	To Submit	

3.1.1. Associated Transactions

Preparation Method: Consolidated and VAT Calculation

- When the VAT Group Representative uploads a data file to the Consolidated Return, then the transactions for each member will be automatically associated with the VAT Calculations returns for the members (and the VAT Calculation for the Representative).
- If the VAT Group Representative uploads a data file for their own VAT Calculation, then the transactions should be associated with the consolidated return then the status moves to 'To Submit'.

Preparation Method: Consolidated

- When the VAT Group Representative uploads a data file to the Consolidated Return, then the transactions for each member **will not** be associated with the VAT Calculations returns for the members (and the VAT Calculation for the Representative).
- If the VAT Group Representative uploads a data file for their own VAT Calculation Return, these transactions are associated automatically with the Consolidated Return.

3.2. Step 2

Once all VAT Calculations are at status To Submit and the **Consolidated Return is moved to 'To Prepare'**, then the VAT Group representative should prepare the Consolidated Return and move it through the flow (To Prepare > To Review > To Approve > To Submit > Submitted).

Once the Consolidated Return status changes from Submitting to **Submitted**, then:

- All the respective VAT Calculation Returns are automatically moved to **Submitted (Part of Consolidated)**.

The screenshot displays the 'Return 527' interface. At the top, a table lists return details: Jurisdiction (Netherlands), Entity (NL ABC), Type (VAT Return), VAT Group Type (VAT Calculation), Frequency (Monthly), Period (Sep 2022), Status (Submitted - Part Of Consolidated), and Filing Deadline (2023-01-31). Below the table are tabs for Files, Data Validation, Transactions, Return Validation, and Return Review. A red dashed arrow points from the 'Submitted (Part Of Consolidated)' status to the 'Return Validation' tab. At the bottom, there are sections for Data Files, Output Files, and an Upload Additional Files button.

- All the VAT Calculation Returns are prevented from being Submitted to the Tax Office.

3.2.1. Submission Failed

If the Consolidated Submission fails, then the status of all of the VAT Calculations will automatically move to **Submission Failed (Part of Consolidated)**.

4. Processing 'Consolidated and Individual'

All Individual Returns should be completed first.

Once the data file is uploaded to the Individual Returns, the transactions are automatically associated with the Consolidated Return.

Please note: The Data Files (uploaded to the Individual Returns) will not be visible on the Consolidated Return.

The screenshot displays the Comply software interface for a VAT Return. The top navigation bar shows the user is logged in as 'testani'. The main header indicates 'Return 101'. Below this, a table lists the return details: Jurisdiction (France), Entity (FR Group Rep), Type (VAT Return), VAT Group Type (Consolidated), Frequency (Quarterly), Period (Oct-Dec 2022), Status (Submitted), and Filing Deadline (2023-01-19). The 'Files' tab is selected, showing 'Data Files' and 'Output Files' sections. The 'Data Files' section is empty, displaying 'No data to show'. The 'Output Files' section is also empty. The 'Upload Additional Files' section is visible on the right, with a 'Drag and drop file here' area and a 'CHOOSE FILE' button.

Data Validation

Once the Data File(s) have been uploaded to the Individual Returns and Associated with the Consolidated Return, comply will display the Data in the Data Validation tab of both the Individual and Consolidated Returns.

Example:

Comply

testani

Return 315

Jurisdiction

Austria

Entity

AT Group Rep

Type

VAT Return

VAT Group Type

Individual

Frequency

Quarterly

Next action due by 2024-05-02

Files

Data Validation

Transactions

Correct: 0

Error: 0

Warning: 2

Total: 2

Processed: 2 of 2

Rule ID	Validation	Total	OK	Error	Warning	Errors			Warni
						Fixed	Accepted	Fixed	
H1.54	Check Not Expected Tax Transaction Code	2	0	0	2	0	0	0	
G1.13	Valid Entity Code	2	0	0	2	0	0	0	
A2.09	Null Data Output Customer Name	2	0	0	2	0	0	0	
A2.13	Null Data Output Customer VAT Nr	2	0	0	2	0	0	0	
A2.05	Null Data Output Invoice Post Date	2	0	0	2	0	0	0	
G1.07	Valid Client Transaction Category Value	2	2	0	0	0	0	0	

Ensure both Individual Returns and the Consolidated Return are processed through to 'To Submit'.

5. Processing 'Individual'

There is no Consolidated Return. Each member (Including the VAT Group Representative) is required to file individual returns.

